06/12/24 A15

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[21JUGEHSS23]

SEVENTH SEMESTER B.Tech EXAMINATION, DECEMBER-2024

MANAGERIAL ACCOUNTING

Time: 3 Hours **Maximum Marks: 50**

Instructions:
- **i.** PART - A (Question 1-5) answer any 4 questions.
- **ii.** PART - B (Question 6-8) answer any 2 questions.
- **iii.** PART - C (Question 9) is compulsory

PART – A **05X04=20**

1. "Management Accounting is mainly concerned with presentation of accounting information is such a way that is useful to management in decision making". Explain the statement. **05**

2. Ms. Shilpa Shekar, the owner of a medium-sized electronic components manufacturing factory, has been facing rising costs and shrinking profit margins. Despite using financial accounting to manage her business, she is unsure about the role of cost accounting and how it differs from financial accounting. As a Financial Consultant, explain the key differences between the cost accounting and financial accounting and why implementing cost accounting could help improve her business's profitability and cost management. **05**

3. An e-commerce business sells a product for Rs.300 with variable costs of Rs.150 per unit. The company has fixed costs of Rs.1,50,000 per month. However, due to seasonal demand, the company incurs an additional variable cost of Rs.50 per unit during peak months. Calculate the total number of units the company needs to sell during the peak months to cover both fixed and variable costs. **05**

4. Describe Cost Centers and their importance in responsibility accounting. **05**

5. Evaluate the challenges faced by Management Accountants in today's dynamic business environment. Discuss how globalization, regulatory changes, technological advancements, and other external factors have influenced the role and responsibilities of Management Accountants, and propose strategies for overcoming these challenges effectively. **05**

PART - B **09X02=18**

6. Following information is given: **09**

Fixed Cost - Rs.18,000, Sales - 5,000 units, Break Even Point - 3,000 units, Selling price per unit - Rs.20. Calculate the following:

- **i.** Profit/volume Ratio
- **ii.** Margin of Safety (MOS)
- **iii.** Profit if sales are Rs.1,30,000
- **iv.** Additional units to be sold increasing the present profit by Rs.5,400

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7. From the following particulars calculate (1) Prime Cost, (2) Factory Cost, (3) Cost of Production and (4) Cost of Sales: **09**

Direct Raw Materials Rs.33,000, Depreciation of office building Rs.1,000, Direct Wages Rs.35,000, Depreciation of Factory Van Rs.200, Direct Expenses Rs.3,000, Factory Rent and rates Rs.7,500, Advertising Rs.300, Indirect Wages (Factory) Rs.10,500, Salaries of salesmen Rs.1,500, Factory Lighting Rs.2,050, Up keeping of Factory Van Rs.700, Factory Heating Rs.1,500, Power (Factory) Rs.4,400, Commission on sales Rs.1.500, Office Stationery Rs.900, Rent and rates (Office) Rs.500, Director's Remuneration (Factory) Rs.2,000, Director's Remuneration (Office) Rs.4,000, Factory Cleaning Rs.1,000, Output (Sales @ Rs.40 per unit) 5,000 units, Sundry Office Expenses Rs.200, Factory Stationery Rs.750, Water supply (Factory) Rs.1,300, Factory Insurance Rs.1,100, Office Insurance Rs.500, Legal Expenses (Office) Rs.400, Rent of Warehouse Rs.300, Depreciation on Plant & Machinery Rs.2,000.

8. Analyze how Responsibility Centers contribute to strategic planning, budgeting, and resource allocation processes within organizations. Discuss the challenges and opportunities associated with integrating Responsibility Centers into strategic management frameworks. **09**

PART - C **01X12=12**

9. From the following information, prepare a Cash Flow Statement.: **12**

Liabilities	31-03-24	31-03-23
Share capital	7,00,000	5,00,000
Profit and Loss	4,70,000	2,50,000
8% Debentures	4,00,000	6,00,000
Creditors	9,00,000	6,00,000
	24,70,000	19,50,000
Assets	31-03-24	31-03-23
Plant	7,00,000	5,00,000
Goodwill	1,70,000	2,50,000
Inventories	6,00,000	5,00,000
Debtors	6,00,000	4,00,000
Cash	4,00,000	3,00,000
	24,70,000	19,50,000

Additional information:

Depreciation Charge on Plant amount to Rs.80,000.